

January to April—not bad for a little retail shop out of Cohasset, Massachusetts. Their packaging was innovative: they sealed the cupcakes in mason jars to keep them fresh for up to 10 days, then shipped them all over the country. As I pointed out, they didn't have a patent on the jars, so anybody could do what they were doing, but they did have growth potential that the average bakery didn't have. Cupcakes are hot right now, and Dani and Tracey use all the richest ingredients. I know because they brought the Sharks a sample as a part of their pitch. Those cupcakes were obscenely delicious—even if their profits weren't quite as rich as their product. Still, I wanted in.

Tracey and Dani asked for \$75,000 for a 20-percent equity in the company. Then Tracey told us the cupcakes cost \$2.15 to make and they were selling them to a wholesaler for \$3. One by one, the other Sharks bowed out. I hated the margins, but I loved the product. I didn't want equity because I knew I'd never get liquid, so I made them a different kind of deal. "I'll give you \$75,000," I said, "if you give me a dollar for every cupcake you sell. After I get my money back, I'll take 50 cents per cupcake in perpetuity."

Things got tense. Mark Cuban told them they couldn't possibly get a worse offer. They left the room to discuss my terms, and Dani got upset. She thought if they did business with me, I would run them into the ground. But Tracey had the opposite reaction. She saw our offer as a loan that would pay sizable dividends. They'd get the money they needed to expand and wouldn't have to give up ownership of the business. Every time they wrote me a check, they were essentially paying for marketing, PR, legal advice and the official endorsement and support of Mr. Wonderful. All in all, not a bad deal—in fact, it was a tasty one.

They countered with 40 cents a cupcake, and in the end we settled on 45 cents in perpetuity.

"Come to Mama," Tracey said when she accepted my offer. We didn't just shake on it, we hugged.

Wicked Good Cupcakes exploded. Sales skyrocketed to \$250,000 the week the episode aired on *Shark Tank*, and again when it re-aired in September. I got my money back in a matter of months.